Singapore Banking Monthly - Phillip Securities 2026-01-26: Higher CASA Ratio To Offset NIM Decline

> ## Singapore Banking Monthly: Higher CASA Ratio To Offset NIM Decline

- We downgrade both DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) and OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) from Accumulate to NEUTRAL due to recent share price performance. We raise our target price for UOB (https://sginvestors.io/sgx/stock/u11-uob/target-price) from S$30.40 to S$36.70 and maintain our NEUTRAL recommendation

3-Month SORA Lowest In 41 Months

- Singapore's interest rates fell 5bps m-o-m to 1.21% in December, the lowest in 41 months. Furthermore, December's 3-month SORA fell by 193bps y-o-y, the 3rd most significant y-o-y decline in 17 years, and is 8bps lower than the 4Q25 3-month SORA average of 1.29%. The surge in capital inflows, as Singapore remains a "safe haven," has driven interest rates sharply lower. We expect the 3-month SORA to continue declining as the Fed cuts rates further.
- Hong Kong interest rates declined for the 2nd consecutive month in December. The 3-month HIBOR fell by 29bps m-o-m to 3.04%, partially reversing the recovery from July to October. December's 3-month HIBOR declined by 132bps y-o-y and is 28bps lower than the 4Q25 3-month HIBOR average of 3.32%.

Singapore Loan Growth Holds Steady Above 6%

- Overall loans to Singapore residents, encompassing lending in all currencies to Singaporeans, rose by 6.6% y-o-y in November to S$873bn. This was slightly higher than the previous month's growth of 6.5%. year-to-date25 loans were up 5.8% y-o-y. We expect mid-to high-single-digit loan growth in 2026, driven by a further recovery from the rapid decline in Singapore interest rates and the additional rate cuts

anticipated for the year. However, the trade war may hamper this growth. The banks are guiding mid-to high-single-digit loan growth in 2026.

- Business loans increased by 6.4% y-o-y in November. Loans to the building and construction segment, the single largest business segment, rose 1.7% y-o-y to S$180bn. Meanwhile, loans to the manufacturing segment grew 35% y-o-y in November to S$27bn, slightly higher than October's 31% growth.
- Consumer loans increased 6.8% y-o-y in November to S$345bn, marking the 23rd consecutive y-o-y increase since December 2023. Housing loans, which comprise ~70% of consumer lending, grew 5% y-o-y in November to S$243bn.
- Total deposits and balances, which include deposits in all currencies made by non-bank customers, grew by 7% y-o-y in November to S$2,026bn. In the Current Account and Savings Account, or CASA, the proportion rose to 19.7% (Oct25: 19.4%) of total deposits and grew by 16% y-o-y to S$399bn. We expect the CASA ratio to rise as the higher-interest fixed deposits mature and funds are shifted back to CASA.

Hong Kong Loan Growth Continues To Recover

- Hong Kong's domestic loan growth rose 1.2% y-o-y and was flat m-o-m in November. The y-o-y increase was slightly lower than the 1.3% increase in October. Loan growth has been positive for seven consecutive months, primarily due to a lower reserve requirement ratio and lower policy rates, which boosted liquidity and encouraged lending. Additionally, lower interest rates spurred a surge in mortgage refinancing, contributing to the overall loan growth.

Volume Growth Recovers

- In December, SGX (SGX:S68) (https://sginvestors.io/sgx/stock/s68-sgx/stock-info)'s SDAV rose 23% y-o-y to S$1,173mil, while DDAV rose 17% y-o-y to 1.28mil in December.
- The VIX, a market index that measures the implied volatility of the S&P 500 Index, averaged 15.6 in December, lower than November's level of 19.8. We believe the heightened volatility could persist into 2026, particularly with the ongoing trade war, which is expected to continue benefiting both SDAV and DDAV. The S$5bn Equity Market Development Programme (EQDP) would further boost trading volumes (https://sginvestors.io/market/sgx-market-statistics-turnover).
- The top four equity index futures turnover rose by 3% y-o-y in December to 12mil contracts, mainly due to an increase in FTSE China A50 Index Futures volumes (+4% y-o-y).

Singapore Banks Performance

- The share price performance of the three local banks rose in December 2025, by 4.4%. This was supported by continued strong performance from OCBC's share price (https://sginvestors.io/sgx/stock/o39-ocbc-bank/share-price-history) (+6.1%), due to a strong set of 3Q25 results, especially in fee income, which grew 34% y-o-y and outpaced their peers (DBS's share price (https://sginvestors.io/sgx/stock/d05-dbs/share-price-history): +22% and UOB's share price (https://sginvestors.io/sgx/stock/u11-uob/share-price-history): -2%), and the possibility of more capital returns due to their higher excess capital.
- On a year-to-date basis, DBS remained the strongest performer (+29%), due to DBS's clearer dividend policy and guidance for further increases in FY26e, as well as its ability to attract more deposits, which, in turn, improves NII.
- We expect both DBS and OCBC's performance to remain stable in FY25e, as earnings are expected to decline due to NIM compression, offset by a recovery in fee income. Capital return initiatives are expected to support the share price. UOB's earnings will take a hit from the surge in provisions.

4Q25 Earnings Preview

- The three local banks are set to release their full year 2025 and 4Q25 results in February 2026, with DBS on 9 February, UOB on 24 February, and OCBC on 25 February. See Earnings Calendar (https://sginvestors.io/news/sgx-stocks-earnings-calendar).
- For DBS, we estimate 4Q25 PATMI of S$2.97bn (+13% y-o-y), for UOB, we estimate 4Q25 PATMI of S$1.49bn (-2% y-o-y) and for OCBC, we estimate 4Q25 PATMI of S$1.92bn (+14% y-o-y).
- NIM compression is expected to continue into 4Q25 but NII decline will slow as loan growth recovers. Fee income will be the main growth driver for earnings. Potential upside to earnings if excess provisions are written back.

Singapore Banking News

- On 16 Dec 2025, Singapore and China announced a new set of financial initiatives, including the appointment of DBS Bank as Singapore's second renminbi clearing bank and the launch of an e-CNY pilot for Singapore travellers. MAS said DBS' appointment would support further growth of Singapore's offshore renminbi market. The Industrial and Commercial Bank of China's Singapore branch has served as the city-state's first RMB clearing bank since 2013. The move is expected to facilitate the use of the Chinese currency for trade, investment, and other economic activities in line with regional needs.
- On 3 Dec 2025, it was reported that digital bank GXS is cutting 82 jobs or about 10% of its workforce across the group. The exercise is part of the group's transition from the early growth stages of building a bank to running the operations, said GXS group chief executive Lai Pei-Si in a note to staff. "The roles that are essential as we move forward and focus on running the bank may be different from our build phase," said Lai. These cuts were made following a strategic review to identify critical roles for the next phase. The review was undertaken across subsidiaries GXS Bank in Singapore, GXBank in Malaysia and its tech centre in India.
- On 1 Dec 2025, it was reported that MAS and the Bank of Japan (BOJ) have renewed their bilateral local swap arrangement for three more years. Under the arrangement, the two central banks can exchange local currencies with each other of up to S$15bn or JPY1.1tn, according to a press release on 28 Nov 2025. MAS said that the arrangement enables it to provide Japanese yen liquidity to eligible local financial institutions to support their cross-border operations.

- On 1 Dec 2025, it was reported that MAS has expanded Ripple's scope of payment activities under the major payment institution licence held by its subsidiary Ripple Markets APAC Pte. Ltd. (RMA). Ripple, a fintech company providing crypto solutions to businesses, said that it can now provide an end-to-end payment solution in Singapore. It uses digital payment tokens (DPTs) to settle payments in minutes.

Investment Action

Maintain NEUTRAL.

- With the continued decline in interest rates in both Singapore and HK, banks' NIMs have also decreased, affecting NII and earnings. Deposit rate cuts would benefit funding costs in 2H25 and help ease NIM compression, but we believe earnings will decline in FY25e due to lower NII. The banks' dividend yield of 5.5% remains attractive, as capital return initiatives are expected to continue in FY25, and share buybacks will improve ROE and EPS.
- **We raise our UOB's target price (https://sginvestors.io/sgx/stock/u11-uob/target-price) from S$30.40 to S$36.70 and maintain our NEUTRAL recommendation** as we raise the terminal growth rate to 3% (from 2%) and lower the beta to 1.1 (previously 1.2) to reflect UOB's long-term ASEAN growth potential and lower risk due to strengthened provision coverage.
- **We downgrade both DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) and OCBC (https://sginvestors.io/sgx/stock/o39-ocbc-bank/stock-info) from Accumulate to NEUTRAL due to recent share price performance**. Our ROE and earnings estimates remained unchanged.
- **DBS (https://sginvestors.io/sgx/stock/d05-dbs/stock-info) is our pick among the three banks**, as we expect non-interest income to be the main growth driver, given that heightened volatility will benefit trading income and that continued WM growth will stem from the shift in investor sentiment and AUM inflows. However, higher provisions and the global minimum tax are expected to hurt profit after tax and minority interest (PATMI) in FY25. The capital return initiative, which includes a 24-cent annual increment, a 15-cent quarterly capital return dividend, a S$3 billion share buyback, and a 5.6% dividend yield, is an attractive proposition. DBS is the only bank with a fixed DPS of S$3.06. At the same time, OCBC and UOB maintain

floating dividend policies based on a 50% payout ratio, with OCBC adding a 10% capital return and UOB including a 50 cents/share capital return.

Above is an excerpt from a report by Phillip Securities Research.
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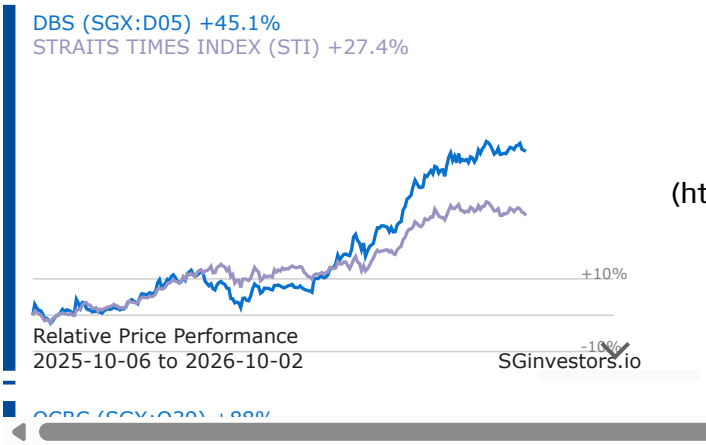
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